



清华大学
Tsinghua University

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Dr. Liuxin Yan

Assistant Professor

Leadership and Organization Management

School of Economics and Management



Organizational Change

- Organizational change: any alterations in people, structure, or technology
 - An **incremental improvement** on existing organizational capabilities

Organizational Change

- Organizational change, at most of times, is **necessary**
- The forces of change may be external or internal





Forces of Organizational Change

- **Nature of the workforce**
 - E.g., Aging population
- **Technology**
 - E.g., Artificial intelligence and digitalization
- **Economic shocks**
 - E.g., Financial sector collapse, global recession
- **Competition**
 - E.g., mergers and consolidations
- **Social trends**



Type of Change

- Planned change
 - Is a change resulting from deliberate decision
 - Activities that are proactive and purposeful
 - Helps the organization to
 - Adapt to changes in its environment
 - Change employee behaviour (to help them be change-ready)



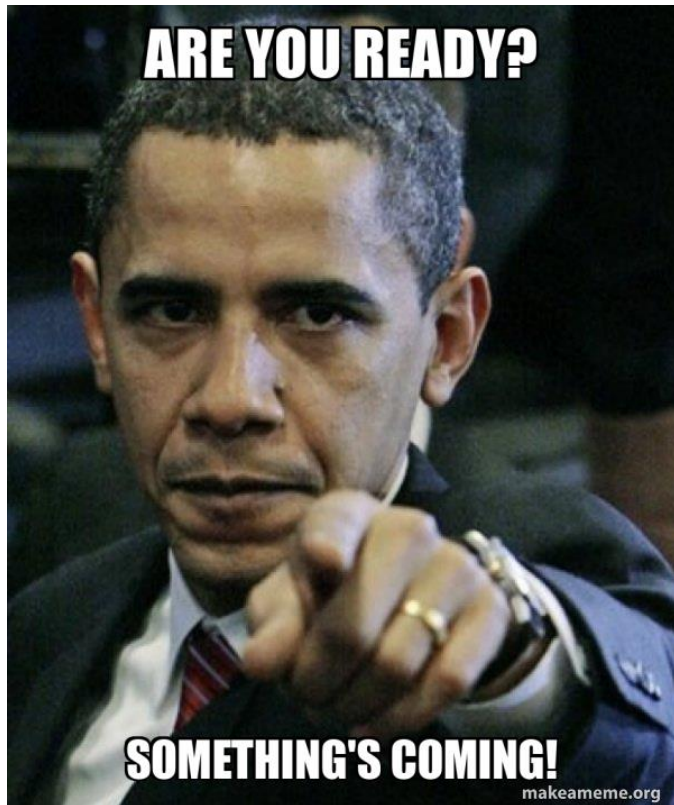
Type of Change

- Unplanned change is...
 - A change that is imposed on the organization and often unforeseen.
 - When conditions of environment forces the organization to change
 - Usually reactive, not proactive
- **Managers must be prepared to handle both**

Organizational Change



What happens if you fail to respond to external shock....?



Blockbuster



Blockbuster

- Founded in 1985 in Dallas, United States
- The leading player in the video-renting industry
 - 9100 locations
 - 85,000 employees



- I'm not aware of any industry that literally started from nothing and within 10 years was just a way of life for most Americans



- I'm not aware of any industry that literally started from nothing and within 10 years was just a way of life for most Americans, **and then in another 10 years, it was gone.**



Blockbuster's FALL

- “They are too busy with making money in their video stores to imagine a time when people no longer want or need them”



Blockbuster's FALL

- Failed to adapt to digital trends
 - Continued reliance on physical stores and late fees while consumer preferences shifted
 - Late to enter online services (also poorly integrated)
- Failed to keep up with Netflix's early mover advantage in streaming



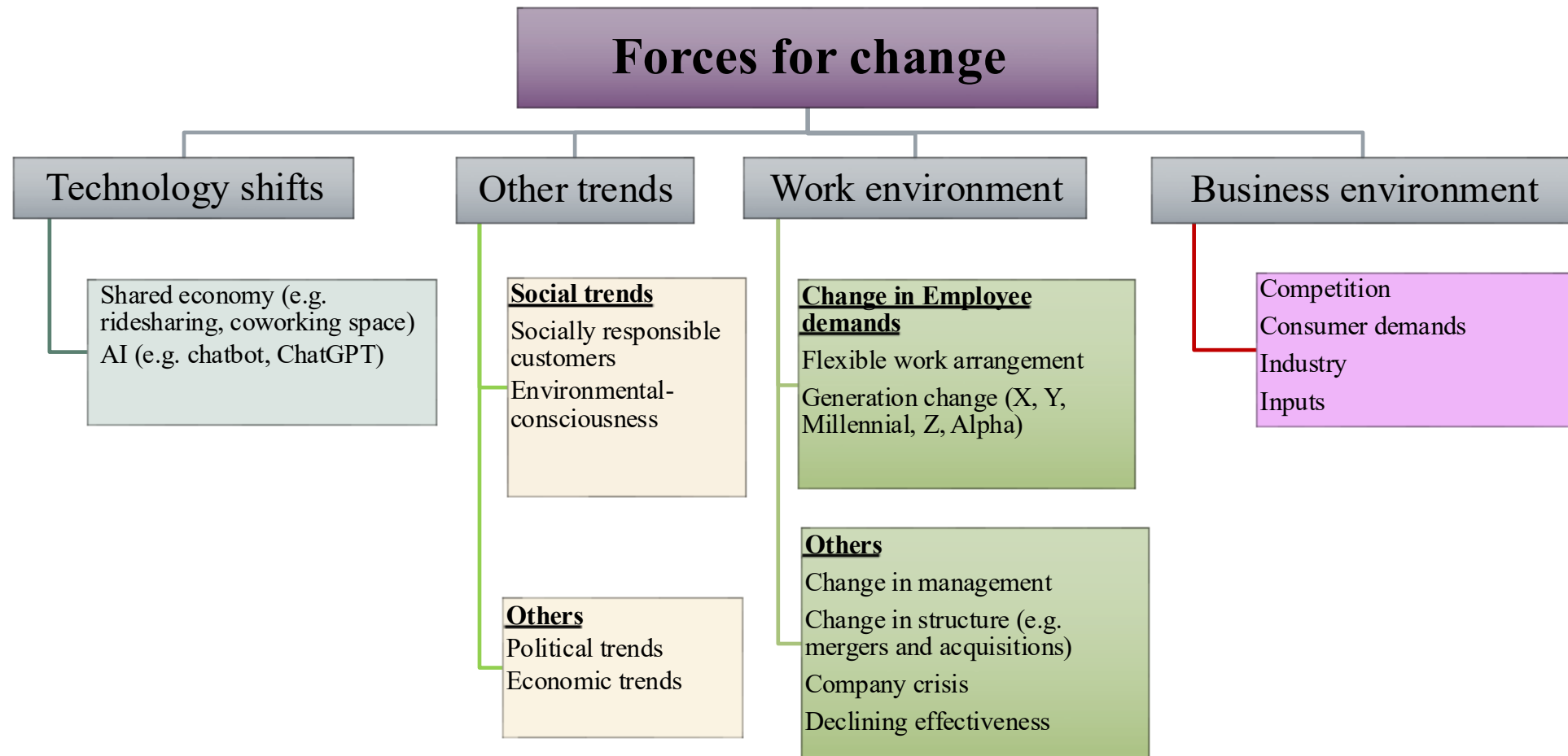
Netflix' Rise



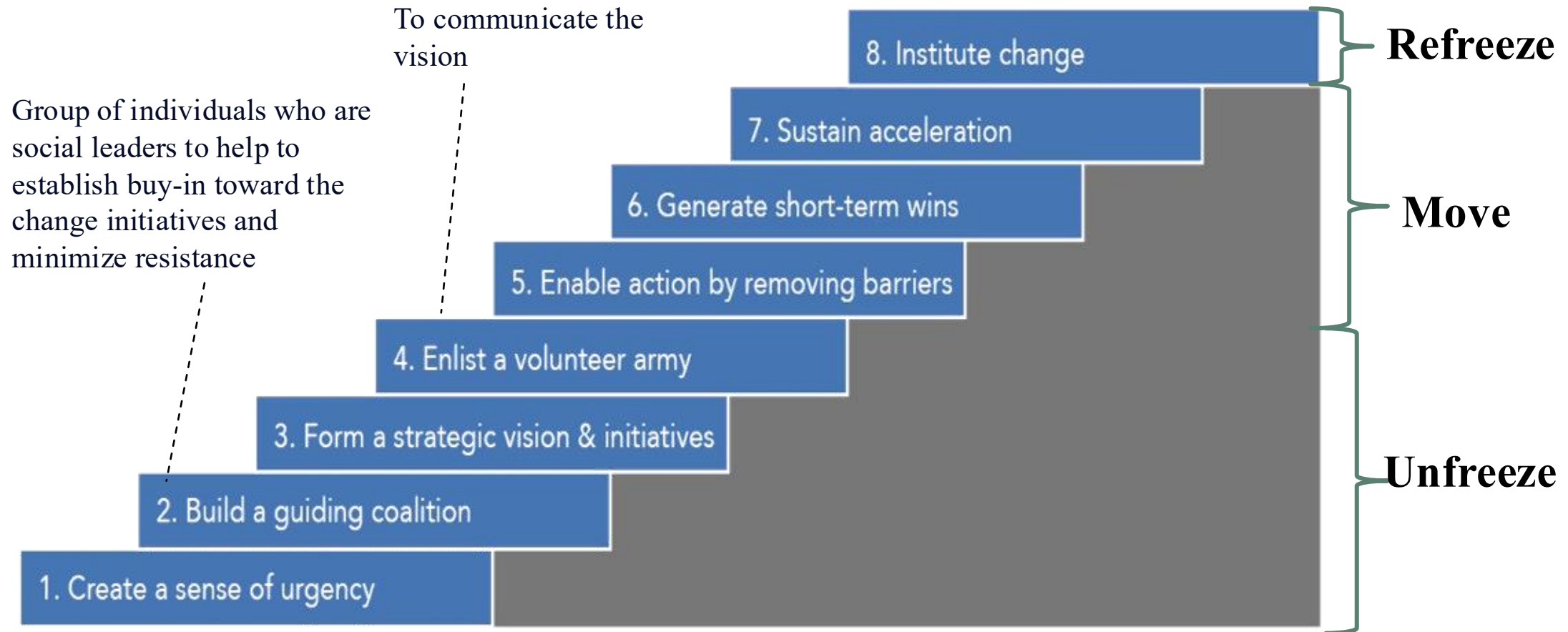
- Founded in 1997 in California, United States
- Netflix began as a DVD-renting service company (i.e., mailing the DVD to customers)
- In 2007, the company introduced the video on demand service by allowing customers to watch content directly from the Internet
- Meanwhile, the DVD-renting service continues to operate till Sep 2023 (an incredible 25-year run!)

NETFLIX

A Model of Organizational Change



Kotter's 8-step Plan



Be Careful



- Change may increase employee stress
 - Not everyone will be happy about organizational change!



Resistance to Change



■ Individual sources

- Habit
- Security
- Fears of unknown
- Selective information



Everything is
under Control



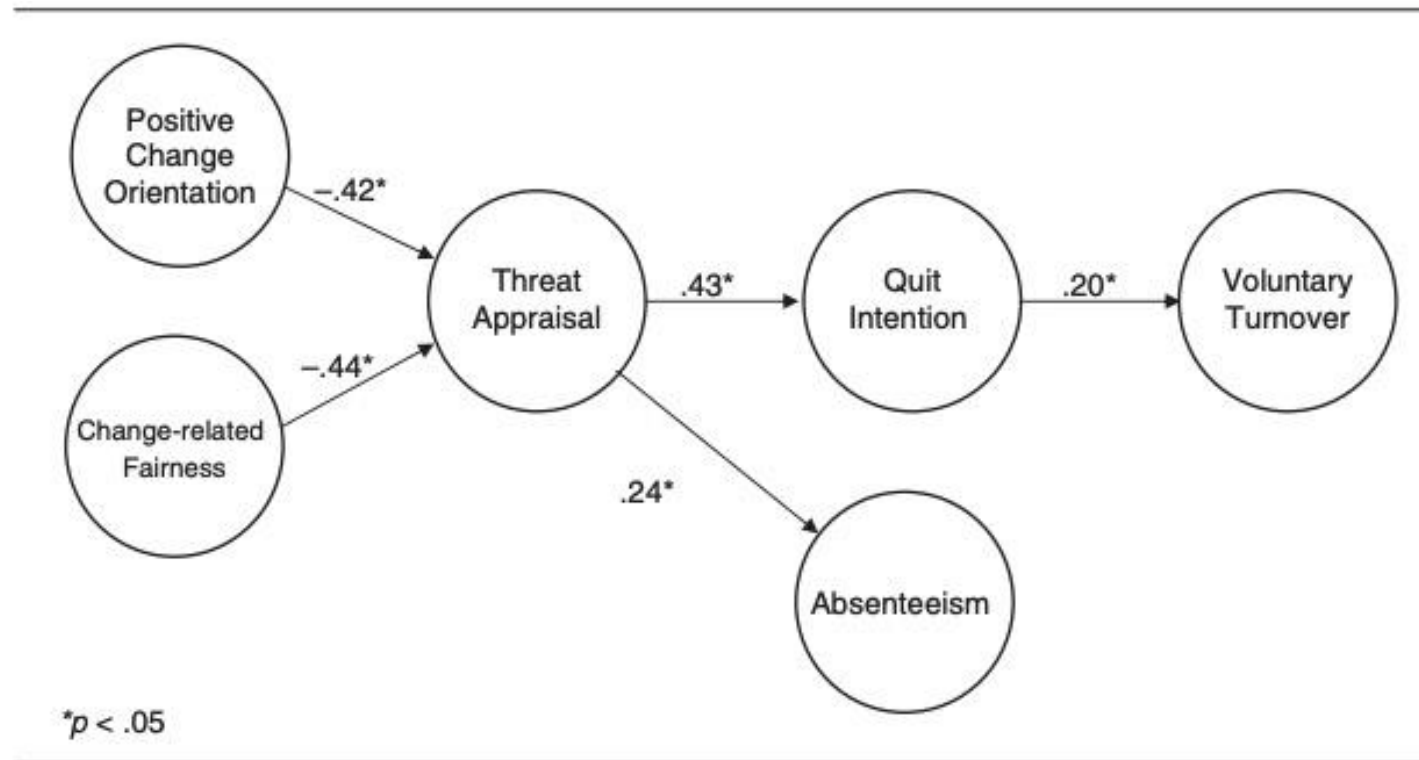
Resistance to Change

- Some employees view organizational change as a risk
 - Absenteeism
 - Quit
- **Positive change orientation:** confidence and perceived control reduce threat perceptions
- **Change-related fairness:** perceived justice reduce negative reactions



**Everything is
under Control**

Resistance to Change



When employees feel negative and not confident about the organizational change, they will want to leave the organization!

Resistance to Change



■ Organizational sources

- Structural inertia
- Limited focus of change
- Group inertia
- Threat to established power/status hierarchy



Dealing with Resistance to Change

Increase education and open communication

- Address uncertainty and lack of information

Downward and organisation-wide communication:

- Rationale for need of change: Why is this happening? How the change benefit me?
- Details: What is going to happen? How will it affect me?

Upward communication:

- Concerns about the change
- Need/Benefits of change

Lateral communication (across the groups):

- Identifying issues and development of new possibilities
- Creating shared sense of direction and thus preventing isolated groups

Communication is the Key!

- Communication functions:
 - **Informational:** Provide clarity and direction about change
 - **Communal:** Foster trust, commitment, and organizational identification
- Poor communication → Uncertainty → Resistance to change

